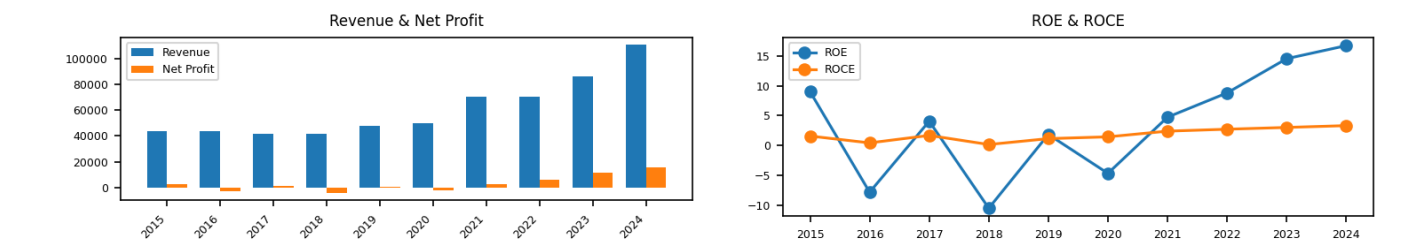


Canara Bank — CANBK

Financials | Public Sector Banks

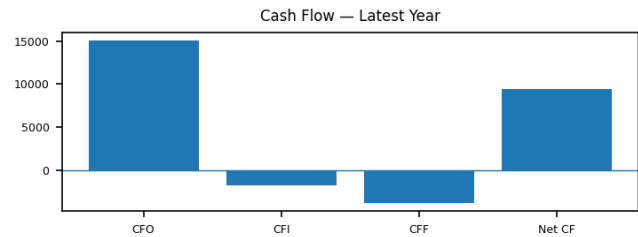
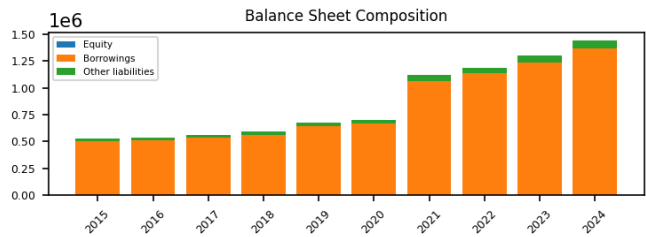
Latest Year	ROE	ROCE	NPM	D/E	FCF	Revenue CAGR 5Y	PAT CAGR 5Y	ICR
2024	16.7%	3.3%	13.9%	14.9	13,296.0 Cr	18.2%	85.8%	1.6



Company overview

Canara Bank was merged with erstwhile Syndicate Bank in FY21. Canara was incorporated in 1906 and nationalised in 1969, along with 13 other major commercial banks of India, by the Gol. The bank is headquartered in Bangalore.

Balance Sheet & Cash Flow



Year	CFO	CFI	CFF	Net CF
2019	18,237.0	-745.0	-1,185.0	16,307.0
2020	-5,289.0	-445.0	7,792.0	2,059.0
2021	59,118.0	-1,116.0	290.0	58,291.0
2022	919.0	-1,429.0	4,035.0	3,525.0
2023	-39,978.0	-1,156.0	445.0	-40,689.0
2024	15,046.0	-1,750.0	-3,834.0	9,462.0

Pros

- Revenue growing at above 15% CAGR over 5 years reflects strong business momentum. (confidence 80)
- Operating profit margin above 25% indicates strong pricing power and cost discipline. (confidence 80)
- Net profit compounding at above 20% over 5 years creates significant shareholder value. (confidence 80)
- Consistent dividend yield above 2% backed by positive free cash flow. (confidence 80)

Cons

- Operating margins declining for 3 consecutive years suggest pricing or cost pressure. (confidence 85)
- Return on capital employed below 10% suggests the business is not generating efficient returns on invested capital. (confidence 80)
- Net debt exceeding 3 times EBITDA is a high leverage ratio and limits financial flexibility. (confidence 80)

Capital Allocation: Reinvestor